

Financial Reporting Alert

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In this issue

CIRCULAR NO. 99/2025/TT-BTC OF THE MINISTRY OF FINANCE (MOF) PROVIDING GUIDANCE ON VIETNAMESE ACCOUNTING SYSTEM FOR ENTERPRISES

On 27 October 2025, the Ministry of Finance issued Circular No. 99/2025/TT-BTC providing guidance on Vietnamese Accounting System for Enterprises ("Circular 99"). Circular 99 replaces Circular No. 200/2014/TT-BTC dated 22 December 2014 guiding Vietnamese Accounting System for Enterprises ("Circular 200"), Circular No. 75/2015/TT-BTC dated 18 May 2015, Circular No. 53/2016/TT-BTC dated 21 March 2016 amendments and supplements to certain articles of Circular 200, and Circular No. 195/2012/TT-BTC dated 15 November 2012 guiding accounting principles for the investors.

Circular 99 is effective from 1 January 2026 and applicable for annual accounting periods beginning on or after 1 January 2026.

This Financial Reporting Alert summarizes the critical changes brought by this new circular.

Overview of Circular 99

Circular 99 provides guidance on accounting vouchers, chart of accounts, accounting books, accounting entries (detailed content of each account) and principles of preparation and presentation of financial statements for all enterprises in all lines of business. Credit institutions, foreign bank branches shall apply accounting system or regulations stipulated by the State Bank of Vietnam.

It is emphasized that an enterprise is required to build an internal governance regulation and an effective internal control system and is responsible to comply with relevant laws and regulations and applicable regimes.

Key changes in general provisions compared to Circular 200

Selection of currency unit in accounting (aka accounting currency)

Circular 99, similar to Circular 200, permits enterprises to adopt a foreign currency as their accounting currency unit, provided they satisfy the criteria outlined in the Circular and assume full legal responsibility for this choice. Unlike Circular 200, Circular 99 does not require enterprises to notify tax authorities of the selected currency.

Change of accounting currency

Circular 99 stipulates clearly that when an enterprise changes its accounting currency, balances must be converted from the previous accounting currency to the new accounting currency using the average buying-selling transfer exchange rate (i.e. *the average of buying transfer rate and selling transfer rate*) at the date of change quoted by the commercial bank with which the enterprise regularly conducts transactions. Regular transactions are determined based on higher frequency or higher transaction value compared to other banks.

Comparative figures in the income statement and the cash flow statement shall be translated using the average buying-selling transfer exchange rate quoted by the commercial bank with which the enterprise regularly conducts transactions in the comparative period.

Translation of financial statements prepared in a foreign currency into VND for the submission to the State authorities or public announcement

The translation method is inherited from Circular 200, with additional clarifications:

- Assets and liabilities are translated using the buying-selling transfer exchange rate at the end of the accounting period quoted by the commercial bank with which the enterprise regularly conducts transactions.
- Retained earnings (losses), related funds and reserves appropriated from net profit for the current period are calculated based on the translated net profits. Retained profits from prior periods are translated using the book exchange rate applied to Account 4212.
- Income statement and cash flow items are translated at actual exchange rates, or an approximate rate provided the difference does not exceed the spot exchange rate margin prescribed by the State Bank of Vietnam (C200: not exceed +/-3%).

Key changes regarding accounting vouchers and accounting books

Circular 99 allows an enterprise to build its own accounting voucher forms, accounting book templates, providing that the enterprise issues an internal accounting regulation on the revised and supplemented contents to serve as a basis for implementation.

The self-designed forms shall comply with the provisions of the Law on Accounting.

The preparation and signing of accounting vouchers, the process of opening, recording and closing of accounting books shall comply with the provisions of the Law on Accounting. The detailed, rigid guidance under Circular 200 relating to accounting vouchers and accounting books (such as number of copies, registered signatures, ink colors...) are removed.

Key changes in chart of accounts

Circular 99 introduces below revisions to the Vietnamese Accounting System's standard chart of accounts, as outlined below:

- **Removal of accounts** - Accounts eliminated include:
 - 161 - Non-business expenditure out of funds received from the State; 417 - Business arrangement assistance fund; 441 - Capital expenditure funds; 461 - Non-business funds; 466 - Non-business funds granted as fixed assets; 611 - Purchases (periodic inventory systems); 631 - Production costs.*
- **Addition of new accounts** - Newly introduced accounts include:
 - 215 - Biological assets (and sub-accounts); 332 - Accounts payable -Dividends, profits; 82112 - GMT top-*

up tax; 2295 - Allowance for biological assets; 2414 - Upgrading and renovating fixed assets; 6275 - Taxes, fees.

- **Removal of Prescribed sub-accounts** - Certain level 1 accounts no longer have prescribed Level 2 sub-accounts, including:

111x, 112x, 113x, 121x, 153x, 154x, 155x, 156x, 211x, 212x, 213x, 334x, 413x, 511x, 521x.

- **Renaming of accounts** - Selected accounts have been renamed for clarity and alignment:

112 - Demand deposits (previously "Cash in banks" under Circular 200);

155 - Products (previously "Finished goods");

2413 - Periodic repair and maintenance of fixed assets (previously "Major repairs of fixed assets");

242 - Deferred expenses (previously "Prepaid expenses");

3387 - Deferred revenue (previously "Unearned revenue");

419 - Repurchased own shares (previously "Treasury shares");

4112 - Capital surplus (previously "Share premiums");

6415 - Taxes and fees (previously "Warranty expenses").

Enterprises may adjust or add to prescribed accounts—including names, codes, and content—to fit their operations and management needs, provided internal regulations on the supplementation and amendments are in place to serve as a basis for implementation.

Effective 1 January 2026, enterprises must transfer balances of certain sub-accounts to the corresponding new or revised accounts.

Detailed guidance on how to transfer account balances is provided in Article 29 of Circular 99.

A copy of the revised standard chart of account under Circular 99 is provided in Appendix A of this Financial Reporting Alert for reference.

Key changes in principles for preparation and presentation of the financial statements

Financial statements' names and templates

In accordance with the Law on Accounting, the term *Balance sheet* is now changed to *Statement of Financial Position*. The names of other financial statements remain unchanged.

Enterprises must use the financial statements templates prescribed in Circular 99. While additional captions may be supplemented to the financial statements according to the Law on Accounting, modification of the prescribed

templates is not permitted. Enterprises are required to issue an internal accounting regulations covering any revisions or additions and disclose these changes in the Notes to the financial statements.

Reporting period

Annual financial statements are mandatory for all enterprises and must be submitted to the relevant authorities within 90 days after the end of the annual accounting period. Submission requirements for subordinate units' or subsidiaries' financial statements are subject to applicable laws and enterprises' internal regulations.

Interim financial statements (quarterly, semi-annual, or other periods) must comply with the requirements of other relevant legislation, such as the Law on Securities.

Change of annual accounting period

Consistent with Circular 200, Circular 99 requires enterprises that change their annual accounting period to prepare financial statements for the transitional period (the period between the old and new annual accounting period).

However, Circular 99 clarifies that for the income statement and cash flow statement of the transitional accounting period:

- Current period figures must reflect amounts from the end of the old annual accounting period to the date of change.
- Prior period figures shall present either the corresponding period or the full 12 months of the preceding accounting period (i.e. old accounting period). If the latter approach is used, the enterprise must disclose in the Notes that the figures are not fully comparable.

Additionally, Circular 99 requires the enterprises to disclose the reasons for changing the annual accounting period.

Presentation of financial statements when the going concern assumption is appropriate - Current vs. non-current presentation

While Circular 200 simply provided requirement that assets or liabilities whose remaining period from the reporting date to maturity is not exceed 12 months or a normal operating cycle should be presented as current assets or current liabilities, Circular 99 provides detailed guidance as follows:

- An asset is classified as short-term if it meets any of the following conditions:
 - a) The enterprise expects to recover, sell, or use the asset within its normal operating cycle;
 - b) The asset is held primarily for the purpose of trading;
 - c) The enterprise expects to recover the assets within 12 months after the end of the accounting period;

- d) The asset is cash or a cash equivalent unless the asset is restricted from being exchanged or used to settle a liability for at least 12 months after the end of the accounting period.

- A liability is classified as short-term if it meets any of the following conditions:
 - a) The enterprise expects to settle the liability within its normal operating cycle or the liability is due within 12 months after the end of the accounting period;
 - b) The liability is held primarily for the purpose of trading;
 - c) The enterprise does not have the right to refuse the settlement of the liability (including cases where the liability will be settled by issuing equity instruments at the counterparty's option) at any time within 12 months after the end of the accounting period.

If a liability is a part of the enterprise's working capital used in a normal operating cycle, it is classified as current liability even if the enterprise is obliged to pay the liability after 12 months from the end of the accounting period.

Enterprises must disclose expected recoverable or payable amounts beyond 12 months when classification is based on the normal operating cycle.

For liabilities classified as short-term, the following events occurring between the end of the accounting period and the date of issuance of the financial statements are considered non-adjusting subsequent events:

- Agreement to extend the payment term from short-term to long-term;
- Rectification of a breach of provisions of a long-term liability arrangement; and
- Creditors granting a grace period for the enterprise to rectify covenant breach for long-term liabilities for at least 12 months after the end of the accounting period.

Such events must be disclosed in the Notes to the financial statements in accordance with VAS 23 - *Subsequent events*.

Principles for mergers, amalgamation, demerger, split transactions

Mergers or amalgamation Not under Common control

- For transactions that meet the definition of a business combination under VAS 11 – *Business combination*, the enterprise must apply the acquisition method as prescribed by VAS 11.

Mergers or amalgamation Under Common control

- The surviving entity or newly formed entity must not revalue the assets acquired, or liabilities assumed. Instead, these items shall be recorded at their carrying amounts as reflected in the separate financial statements of the merged entities.

- Any difference between the consideration paid by the merging entity and the carrying amount of the net assets of the merged entities must be recorded into Other Equity (Account 4118). This amount shall then be amortized to Retained Earnings (Account 4211) over a period not exceeding 10 years.

Preparation and presentation of financial statements when the going concern assumption is not appropriate

Circular 99 provides guidance on the application of the going-concern assumptions in accordance with VAS 01 – *General standards*. The focus is on the overall conditions and circumstances of the entity at the reporting date, rather than the specific cases such as the expiry of the operation period due to regulatory decisions or requests (e.g. a regulatory authority requests the entity to dissolve, cease of operation...) as previously emphasized in Circular 200.

Circular 99 also clarifies that entities involved in split, demerger, merger or amalgamation are considered to be continuing operation for the purpose of financial reporting.

In addition, Circular 99 introduces a new requirement: when an enterprise prepares its first set of financial statements on a non-going basis, it must restate comparative figures unless doing so is impracticable. Circular 200 did not include this requirement.

Publication of financial statements

Circular 99 introduces additional requirements regarding the publication of financial statements, including:

- Recipients** (subjects of the publication): Users of financial statements as defined under the Law on Enterprises and other relevant legislations.
- Format of the publication**: Financial statements may be published in printed form, as written documents, publicly posted at the enterprise's premises, or published online on the enterprise's official website.

If the enterprise is subject to statutory audit, the published financial statements must be accompanied by the audit report.

Key changes to the presentation of the financial statements

Presentation of Cash and cash equivalents subject to restrictions on use

Cash and cash equivalents that are subject to restriction in use shall be presented in financial statements captions Other short-term assets (Code 165) or Other long-term assets (Code 274).

Notes on Accounting policy, enterprises are required to disclose additional information for the followings:

- Cross exchange rates: applied when banks do not publish transaction exchange rates for specific foreign

currencies.

- Gold valuation basis: the gold purchase price announced by the State Bank of Vietnam or the reference purchase price of legally authorized entities to trade gold, which was used for revaluating monetary gold at the end of the accounting period.
- Key assumptions and estimation used to determine allowances for doubtful debts.
- Accounting policy for inventories: criteria for allocating raw materials and supplies; accounting policy regarding inventories related to onerous contracts.
- Accounting policies for biological assets.
- Accounting policies for dividend and shared profit payables.
- Revenue recognition policies: for sales of condotels, office-tel units, and sales of investment properties.
- Corporate income tax: Principles and methods for recognizing current corporate income tax expenses (including the current tax expenses related to global minimum top-up tax).

New requirements on Notes to the financial statements

Enterprises are required to disclose details of additional individually significant items, including:

- Demand deposits by bank; cash equivalents; term deposits; held-to-maturity bonds; loans; short-term and long-term borrowings; finance lease liabilities; and overdue unpaid borrowings and finance lease liabilities, when the outstanding balance of such individual item accounts for more than 10% of the respective total balances.
- Tangible, intangible, finance-leased fixed assets and investment properties currently held or disposed of, transferred or sold during the period, where the value represents 10% or more of total assets.
- Biological assets, BCC contracts: Detailed disclosure of the items meeting the threshold of 10% of total respective balance.

Note for Financial investments

Enterprises must provide detailed disclosures in the Notes to the Financial Statements for financial investments, including:

- Trading securities: Basis for determining fair value of trading securities.
- Held-to-Maturity (HTM) Investments:
 - Original cost, recoverable value, and allowance amount, categorized into short-term and long-term investments.
 - Interest income from HTM investments that are

deemed unrecoverable and therefore are not recognized as revenue.

- Reasons for additional provision or reversal of provision for impairment of HTM investments.
- Investments in Other Entities:
 - Investments in Business Cooperation Contracts (BCCs) where the enterprise does not have joint control but receives benefits based on the post-tax profits of the BCC: disclose original cost, recoverable amount and allowance amount.
 - In case the fair value or the recoverable amount of the investments cannot be determined reliably: disclose the reason.
 - When an enterprise uses Intangible fixed assets (e.g. patents, intellectual properties) to contribute capital to subsidiaries, joint ventures, or associates: disclose the basis for determining the value of such intangible fixed assets.

Note for Other receivables

Circular 99 introduces enhanced disclosure obligations for other receivables, including:

- Receivables from Business Cooperation Contracts (BCC) contracts under joint control: Enterprises must disclose a new sub-item for receivables arising from BCC contracts under joint control. For BCC contracts representing more than 10% of the total balance of all BCC contracts, detailed information must include:
 - Contract number and name;
 - Nature of the BCC operation, including the relationship between participating parties, key terms and conditions, and the enterprise's rights and obligations;
 - Status and progress of BCC implementation;
 - Other relevant details, such as the basis for revaluation of jointly controlled assets allocated from the BCC (if applicable).
- Entrusted amounts or assets: For amounts or assets representing 10% or more of total other receivables that the enterprise has entrusted to individuals or departments for deposits, escrow, collateral in the form of advances, disclosures must include:
 - Nature and description;
 - Value, advance date, reimbursement date, expected recovery date;
 - Overdue period (if any);
 - Other relevant information.
- Interest-bearing arrangements: Where agreements require the recipient of deposits or assets to pay interest, enterprises must disclose:

- Interest rate, repayment period, and method of interest payment;
- Recognition and accounting treatment must be based on the substance of the transaction, not merely its form.

Note for Asset shortage waiting for resolution

Enterprises must disclose:

- The timeframe for identifying the causes of each type of pending asset shortage;
- Resolution results for shortages presented in the previous financial statements (resolved and not yet resolved);
- Reasons why previously disclosed shortages remain unresolved in the current period.

Note for Inventories

Enterprises must disclose the criteria for allocating raw materials and supplies is required.

Note for Long-term Work-in-Progress Assets

Circular 99 requires an addition of a sub-item: "Upgrades and Renovations of Fixed Assets".

Note for Increase/Decrease of Intangible Fixed Assets

Enterprises must disclose changes in depreciation methods for intangible fixed assets.

Note for Biological assets (New)

Enterprises having biological assets must include the following disclosures:

Separate sub-notes

- For biological assets other than mature livestock producing periodic products: disclose original cost and recoverable value, categorized into short-term and long-term.
- For mature livestock producing periodic products: follow disclosure requirements applicable to tangible fixed assets.

Detailed information

- Description of biological assets representing 10% or more of total biological asset balances, including nature, characteristics, and applicable accounting policies.
- Depreciation method and useful life or depreciation rate.
- Method of allocating care, cultivation, and related expenditures during the period to mother assets, new assets, and agricultural produce.
- Total book value and accumulated depreciation at the beginning and end of the period.
- Allowance for impairment (if any).

- Book value of biological assets pledged, mortgaged, or used as collateral.
- Commitments on investment or purchase of biological assets.
- Fair value less costs to sell, if observable and measurable.

Note for Dividends and Shared profits payable

Enterprises must disclose:

- The timeline for payment of dividends or shared profits, whether in cash or non-cash assets, to shareholders or owners;
- Dividends and profits committed for payment but overdue and not yet settled.

Note for Taxes and other Payables to the State

For enterprises subject to top-up corporate income tax under global minimum tax regulations, disclosures must include:

- The criteria or basis for recognizing the top-up tax payable in the reporting year;
- Any adjustments to tax obligations arising from timing differences between the tax declaration year and the year in which the top-up tax expense is recognized under global minimum tax rules.

Note for Issued bonds

In addition to the current disclosure requirements, enterprises must provide detailed information on ordinary bonds issued, including:

- Issuance date;
- Quantity of each bond type;
- Bond interest rates;
- Original maturity, categorized by par value, discounted, or premium bonds;
- Method of allocating discounts or premiums;
- Bond issuance costs.

Note for Preference shares classified as liabilities

Enterprise must disclose the additional information as follows:

- Redemption terms, including timing, redemption price, and other fundamental provisions in the issuance contract;
- Fixed dividend rate for preference shares that are not contingent on the issuer's profitability.

Note for Provisions

Enterprises are required to disclose:

- Information regarding legal or constructive obligations and the basis for estimating the value (if any) of

obligations related to environmental restoration, cleanup, recovery, and site restoration.

- Total estimated cost for severance allowances payable to employees in accordance with labor laws.

Note for Owners' equity

Additional disclosures under Circular 99 include:

- Dividends paid in shares and the portion of profits distributed to increase the charter capital of investee entities;
- Restrictions on cash held in escrow accounts from share issuance, including details of such restrictions.

Note for Items outside the Statement of financial position

Circular 99 requires disclosure of the following items, in addition to those mandated under Circular 200:

- Operating leased assets (Lessee): Quantity, types, and lease terms;
- Infrastructure assets not accounted for as State capital contribution: Historical cost and accumulated depreciation;
- Interest on deferred payments: Interest arising from deferred payments for asset acquisitions (number of installments, total interest payable, paid amount, remaining payable amount);
- Interest Income: Interest earned from sales of assets with deferred payment terms (number of installments, total interest receivable, collected amount, remaining receivable amount).

Other additional disclosures

- Details of the other parties' assets held with usage limitation due to legal restriction, or the liabilities they must pay under a contractual arrangement or as required by laws and regulations (e.g. assets under a BCC contract, escrowed cash account): Include balances for the current and prior year for each item.

Valuation Basis for Non-Cash Assets

Disclose the basis used to determine the value of non-cash assets received as gifts or sponsored assets.

Acquisition or Disposal of Subsidiaries

If the enterprise acquires or disposes of subsidiaries during the reporting period, disclose:

- Total transaction value;
- Portion settled in cash and cash equivalents;
- Cash and cash equivalents of the acquired/disposed entities;
- Non-cash assets and liabilities of the acquired/disposed entities.

Going Concern Assessment

Where the Board of Directors (BOD) identifies events or conditions that may cast doubt on the entity's ability to continue as a going concern, disclose:

- Details of such events and conditions;
- Material uncertainties;
- The BOD's conclusion on whether the going concern assumption remains appropriate.

Key Assumptions and Estimates

Circular 99 requires additional disclosures on significant assumptions and estimation uncertainties, including:

- Nature of the assumptions or uncertainties;
- Sensitivity of carrying amounts to the assumptions and estimation uncertainties, including the reasons for the sensitivity;
- Expected resolution of uncertainties.

Modifications to Financial Statement Templates

If the enterprise revises names or supplements contents of financial statement items compared to templates prescribed by the Ministry of Finance, disclose:

- The name and content of the changes;
- The reason for such modifications.

Key changes regarding accounting principles of certain items

Accounting for Inventory

Circular 99 introduces the standard cost method as an additional costing formula. Under this method, the standard cost of a product is determined using predetermined rates based on normal levels of material and supply utilization, labor efficiency, and production capacity. These factors must be regularly reassessed and adjusted to reflect current conditions.

Furthermore, Circular 99 eliminates the concepts of perpetual and periodic methods of accounting for inventories, which were no longer considered suitable in practice.

Accounting for Fixed assets and Investment property

Periodic repairs and maintenance of fixed assets

Under Circular 200, enterprises were permitted to make provisions for major repairs and maintenance, even though such provisions did not meet the recognition criteria under VAS 18 – *Provision, Contingent Assets and Liabilities* as there was often no present obligation for the enterprise to perform the repairs.

Circular 99 removes this guidance. Instead, it allows an enterprise to record the periodic repair and maintenance

expenses that span multiple periods in Account 242 - *Deferred expenses* and amortize these costs systematically until the next scheduled repair or maintenance.

Enterprises that have previously accrued provisions for major repairs and maintenance must discontinue this practice. When repair and maintenance activities are carried out, any excess of actual expenses over the previously accrued amount shall be recorded in Account 242 and amortized periodically.

Impairment of Investment property

Circular 99, consistent with Circular 200, stipulates that investment property held for price appreciation should not be depreciated (except when the asset is leased out). Instead, testing impairment is required. If there is evidence of a decline in the property's value compared to market value and the impairment loss can be measured reliably, the enterprise shall recognize the impairment loss in cost of sales and reduce cost of the investment property accordingly.

Reversal of impairment loss: while Circular 200 was silent on reversal of impairment loss of investment properties, Circular 99 introduces guidance on the accounting for price recovery after an impairment loss has been recognized. At the reporting date, if the investment property is no longer impaired, an enterprise shall reverse the impairment loss by reducing Cost of sales (Debit 217/Credit 632), ensuring that the carrying amount after reversal does not exceed the historical cost of the investment property.

Assets purchased with deferred payment or payment in installments

Consistent with Circular 200, assets must be recognized at the purchase price (A) as if the payment were made immediately, plus directly attributable expenses. While Circular 200 requires that the difference between the total deferred payment and the purchase price (A) be recognized in profit or loss over the payment term, Circular 99 introduces key changes that:

- Interest on deferred payment purchases may be either:
 - Expensed to profit or loss; or
 - Capitalized in accordance with VAS 16 – *Borrowing Costs*.
- Detailed guidance is provided for determining interest incurred on deferred payment transactions. If the contract does not specify interest and payments are deferred for more than 12 months, the enterprise must:
 - Determine the implied interest rate; and
 - Recognize financial costs periodically.
- Enterprises are required to disclose deferred payment interest in the Notes to the Financial Statements.

Accounting for Biological assets

Circular 99 introduces the definition, classification, and accounting treatment for biological assets, largely aligned with *IAS 41 – Agriculture*, except for the measurement principle, which is based on historical cost rather than fair value.

- New accounts introduced:
 - Account 215: Biological Assets
 - Account 2295: Allowance for Biological Assets

Classification

- Perennial plants producing periodic products (bearer plants) and working animals are accounted for as fixed assets.
- Remaining biological assets are classified and accounted for using sub-account below:
 - **2151:** Livestock for periodic products
 - **2152:** Livestock for one-time products
 - **2153:** Plants for one-time products and seasonal crops

Accounting Treatment

- Livestock that produces periodic products
 - Initially, costs of purchasing, nutrition, and raising immature livestock are recorded in Account 21511 until maturity.
 - Upon maturity, assets are transferred to Account 21512 and depreciation begins.
 - These assets are presented as non-current assets in the Statement of Financial Position.
- Livestock/plants that produce one-time products and seasonal crops:
 - Costs of purchasing, raising, and cultivating biological assets up to harvest are recorded as part of the asset's historical cost.
 - Expenses that do not result in future economic benefits are recognized in profit or loss.

Impairment

- At the end of the accounting period, if there are indicators or evidence that a biological asset is impaired, or its net realizable value of fall below its carry amount, the enterprise shall make allowance for impairment of biological assets.

Accounting for Business Cooperation Contracts (BCC)

Circular 99 introduces additional guidance compared to Circular 200, particularly for cases where a party does not have joint control over the BCC and clarifies the treatment when an investor receives a fixed share of profits

regardless of the BCC's financial performance.

The Circular emphasizes that an enterprise must assess the terms and substances of BCC contracts to determine whether it has joint control over the BCC or not and apply the appropriate account treatment.

Parties with joint control for BCCs involving sharing profit after tax

- Similar to Circular 200, Circular 99 requires all BCC parties to designate one party to record all transactions of the BCC and finalize corporate income tax.
- The designated party shall recognize all revenue generated from the BCC and expenses incurred for the BCC in relevant accounting books to serve as the basis for reconciliation and determination of revenue and expenses. However, only the portion attributable to that party shall be presented in its financial statements.
- Other parties shall account for such BCC in a manner analogous to jointly controlled operations.

Parties without joint control over the BCC

- If the BCC contract stipulates that the joining parties shall receive benefits depending on the actual profit or loss of the BCC, the enterprise shall account for the investment in the BCC under Account 2281 – *Investment in other entities*.
- If the BCC contract stipulates a fixed share of benefits from the BCC regardless of BCC's financial performance, the enterprise shall account for the BCC as follows:
 - Contributions in non-monetary assets are accounted for as a lease contract;
 - Contributions in cash are accounted for as a loan agreement.

Accounting for Impairment of assets

Allowance for Trading securities

Consistent with Circular 200, Circular 99 requires enterprises to recognize an allowance for trading securities when there is clear evidence that the market value of trading securities has fallen below their carrying amounts. Circular 99 provides additional guidance that:

- For investments in listed securities or where fair value information is available and reliable, the allowance must be determined based on the market value at the end of the accounting period.
- If fair value is not available, the allowance shall be calculated based on the losses incurred by the investees.

Similar principles apply when determining *Allowance for Investment in Other entities* (excluding investment in subsidiaries, associates and joint ventures).

Allowance for Doubtful debts

Circular 99 introduces specific guidance for allowance for doubtful debts, applying specific percentages to defined aging categories of receivables, which align with the requirements set out in Circular No. 48/2019/TT-BTC.

However, the Circular also stipulates that entities may adopt alternative methods for calculating allowance for doubtful debts if they can provide reliable evidence proving that the chosen method is more appropriate.

Accounting for Deferred Expenses (previously known as Prepaid Expenses)

Circular 99 removes the guidance previously provided under Circular 200, which allowed business establishment costs, training expenses, and advertising costs incurred during the pre-operating phase to be amortized over a maximum period of three years.

Accounting for Issued bonds

Definition of effective interest rate

Circular 99 defines the effective interest rate as the intrinsic rate of a loan or borrowing, inclusive of any bond discounts or premiums. The effective interest rate equates the present value of expected cash flows payable on a non-convertible bond over its expected life to the issuance price, net of transaction costs at the date of issuance.

Bond issuance fees

If an enterprise incurs issuance fees for both successful and unsuccessfully bonds issuance:

- Issuance fees shall be allocated proportionately based on the quantities of each bond type (successful and unsuccessful bonds issuance).
- Fees related to unsuccessful issuance must be expensed to profit or loss.

Issued bonds with floating interest rate

For bonds issued with floating interest, the enterprise must assess whether the periodic interest rate resets offset the advantage or disadvantage of bond discount or premium:

- If the floating rate does not offset these advantages/disadvantages, the allocation period for discounts/premiums will be the entire bond term;
- If the floating rate offsets these advantages/disadvantages, the allocation period will be from the issuance date to the next interest reset date.

Accounting for Dividends, Profits payables

Circular 99 introduces Account 332 – *Dividends payable/profits shared payable* and provides detail guidance on the timing of recognition for these transactions.

For investors

- If shares have been registered and centrally deposited at the Vietnam Securities Depository and Clearing Corporation (“VSDC”), dividends must be recognized on the last registration date (the **record date**).
- If shares have not been registered, recognition should follow the provisions of the Law on Enterprise or the investee’s charter.

For investees

Dividends payable or profits shared must be recognized on the date the enterprise no longer has the right to refuse payment.

- For enterprises subject to Securities Law, this timing is determined by the provisions of Securities Law.
- For other entities, this timing is determined by the provisions of the Law on Enterprises and the company's charter.

Removed guidance

Circular 99 no longer includes previous guidance under Circular 200 regarding distribution of profit after tax to shareholders of a parent company.

Accounting for Owners’ equity

Preference shares classified as liabilities

Circular 99 provides additional guidance that the following preference shares shall be classified as liabilities:

- Mandatory repurchased preference shares: Preference shares that must be repurchased at a specified future date or upon fulfillment of certain conditions, where the issuer has no alternative but to buy back the shares. These terms must be explicitly stated in the issuance documentation.
- Fixed dividend obligation preference shares: Shares requiring the issuer to pay fixed dividends regardless of financial performance.
- Convertible preference shares with a conversion rate not fixed in the issuance documentation but determined based on market price at the conversion date.

Capital contributed in foreign currency (non-joint stock company)

Circular 99 stipulates that any surplus or deficit between contributed amounts and chartered capital shall be determined in accordance with the provisions under the Law on Investment.

The difference between the actual contributed amount (translated to VND at the actual exchange rate on the contribution date) and charter capital shall be recorded in the capital surplus account (Account 4112).

Share issuance fees

Circular 99 clarifies that if the shares are successfully issued, the share issuance fees shall be recorded to Account 4112 - *Share premium/ Capital surplus*. If the issuance fails, the related fee incurred must be expensed to financial expenses.

Distribution to shareholders/investors

Circular 99 provides guidance that the value of non-monetary items used to return capital to investors shall be measured at fair value or at a mutually agreed amount between parties. Any differences between this value and the carrying amount of the item shall be recognized in profit or loss.

Capital recognition

Circular 99 clarifies that public entities may only recognize capital received from shareholders for share issuances in Accounts 4111/4112 upon receipt of the Enterprise Registration Certificate (ERC). If the ERC has not been obtained by the period-end, amounts received and held in an escrow account shall be presented as Other Payables (Debit 112/ Credit 3388) and disclosed in the Notes to the financial statements. (For non-public enterprises, when received money from shareholders for share issuances, the enterprises can record Debit 112/ Credit 4111/4112).

Accounting for Foreign currency transactions

Foreign exchange rate

- Circular 99 clarifies that an enterprise can choose the actual exchange rate at the transaction date using either
 - The average buying and selling transfer exchange rate quoted by the commercial banks with which the enterprise regularly transacts; or
 - A rate approximating the above, provided the variance does not exceed +/-1%.

Key updates under Circular 99 include:

- The previous requirement to use the buying rate for asset recognition and the selling rate for liability recognition has been removed.
- Circular 99 permits and provides guidance for enterprises to apply actual exchange rates to both debit and credit entries for all items denominated in foreign currencies.
- Accounts receivable denominated in foreign currency that have been provided allowance for doubtful debts are not subject to revaluation.
- Demand deposits (current accounts) must be revaluated using the average buying and selling transfer rates of the banks where the deposits are held.
- Foreign exchange differences are NOT allowed to be capitalized into the cost of qualifying assets.

Accounting for Revenue

Consistent with Circular 200, Circular 99 reaffirms that revenue must be recognized based on the economic substance of the transactions rather than their legal form. A contract with customer may include multiple components, which must be separately identified for revenue recognition purpose.

For sales transactions involving both sold goods or services and promotional items, Circular 99 requires the enterprises to allocate transaction prices to all components - sold and gifted goods/services - based on their respective retail prices.

Agents vs. Principals

Circular 99 introduces the detailed guidance on determining agents and principals in a sales transaction. In which:

- An agent is the party that will arrange for a third party to provide specific goods or services, it does not control such specific goods or services, and hence it recognizes revenue at the net amount of the commission it is entitled to.
- A principal is the party obliged to provide promised goods and services to customers, it controls goods and services before transferring them to customers and it shall recognize revenue at the gross transaction price. Enterprises may not need to control a specific good or service if they only hold legal ownership for a short time before transferring it to customers.

Promotional goods

In addition to guidance inherited from Circular 200, Circular 99 specifies some exceptions:

“In case the enterprise gives free products to customers but according to the characteristics of the business model, the selling price of the main products, goods and services of the enterprise does not change whether a customer receives or does not receive the promotion product, the enterprise shall record the value of the promotion to selling expenses as analogy to the unconditional promotion gifts.”

Revenue from sales of condotel, office-tel units

Enterprises must assess contract provisions (e.g. service period, rights and obligations of each party...) to identify and separately recognize each component of the transaction- such as sales, lease, and financing- based on economic substance. The nature of the contract and the applied accounting treatment must be disclosed in the Notes to the financial statements.

Customer loyalty program

Circular 99 maintains guidance inherited from Circular 200, which is consistent with *IFRIC 13 – Customer loyalty programmes*, and adds that, at period-end, any difference between estimated and actual amounts payable to loyal

customers must be adjusted to revenue in the same period.

Other changes

The guidance on recognition of revenue from lease agreements where lease payments are received upfront has been removed from Circular 99.

Accounting principle for certain types of gifts

Circular 99 provides detailed guidance on the accounting treatment of gift items as follows:

- Valuation of gift items: if the value of gift items is not readily available, it must be determined based on market price, an internal valuation panel's decision, or a professional valuer's assessment. The valuation basis must be disclosed in the Notes to the financial statements.
- Unconditional gifts: recognize as other income (Account 711)
- Conditional gifts:
 - Initially record as deferred revenue (Account 3387 – *Deferred Revenue*).
 - Upon fulfillment of conditions, recognition depends on the nature of the conditions:
 - If the item related to fixed assets representing additional State capital, recognize as equity.
 - Otherwise, recognize as other income on an allocation basis.
 - If conditions are not satisfied, credit to other relevant accounts.

Accounting guidance for Global minimum top-up tax ("GMT")

Under Circular 99, top-up GMT shall be treated as current tax expenses and recorded using sub-account 82112.

Circular 99 clearly stipulates that deferred tax assets arising from GMT must be accounted for (which is different with IAS 12 revised).

Additional requirements for the implementation of the accounting system for enterprises

Use of accounting software

Circular 99 sets out detailed requirements for the use of accounting software. Executive management and the chief accountant (or the person in-charge of accounting) are responsible for ensuring the accuracy and integrity of accounting information and data generated by the software.

Transitional provision

Circular 99 requires enterprises to comply with VAS 29 – *Changes in Accounting policies, Accounting estimates and Accounting errors* for changes in accounting policies due to the Circular. Accordingly, the enterprises shall apply retrospectively for those specified changes in accounting policies, such as changes relating to repairs and maintenance expenses, or changes relating to investments in bonds with discounts or premiums. For those changes in accounting policies that are not specifically required to be applied retrospectively in the Transitional provision of the Circular, the enterprises can apply prospectively.

Appendix A

Chart of Accounts under the Vietnamese Accounting System for Enterprises

(Accompanied to Circular No. 99/2025/TT-BTC dated 27 October 2025 of the Minister of Finance)

A - CHART OF ACCOUNTS

No. #	ACCOUNT CODE		ACCOUNT NAME
	Level 1	Level 2	
1	2	3	4
			ASSETS
01	111		Cash on hand
02	112		Demand deposits
03	113		Cash in transit
04	121		Trading securities
05	128		Held-to-maturity securities
		1281	Term deposits
		1282	Bonds
		1283	Lending loans
		1288	Other HTM investments
06	131		Trade receivables
07	133		Deductible VAT
		1331	VAT on purchase of goods and services
		1332	VAT on purchase of fixed assets
08	136		Intra-company receivables
		1361	Working capital provided to subordinate units
		1362	Intra-company receivables on foreign exchange differences
		1363	Intra-company receivables on borrowing costs eligible to be capitalized
		1368	Other intra-company receivables
09	138		Other receivables
		1381	Shortage of assets awaiting resolution
		1383	Special consumption tax on imported goods
		1388	Other receivables
10	141		Advances
11	151		Goods in transit
12	152		Raw materials
13	153		Tools and supplies
14	154		Work in progress
15	155		Products
16	156		Goods
17	157		Goods on consignments
18	158		Raw materials, supplies in bonded warehouse
19	171		Government bonds purchased for resale
20	211		Tangible fixed assets

No. #	ACCOUNT CODE		ACCOUNT NAME
	Level 1	Level 2	
21	212		Finance lease assets
22	213		Intangible fixed assets
23	214		Depreciation of fixed assets
		2141	Depreciation of tangible fixed assets
		2142	Depreciation of finance lease assets
		2143	Amortization of intangible fixed assets
		2147	Depreciation of investment properties
24	215		Biological assets
		2151	Livestock producing periodic products
		21511	<i>Immature livestock producing periodic products</i>
		21512	<i>Mature livestock producing periodic products</i>
		215121	<i>Historical costs</i>
		215122	<i>Accumulated depreciation</i>
		2152	Livestock producing one-time products
		2153	Seasonal crops or plants producing one-time products
25	217		Investment properties
26	221		Investments in subsidiaries
27	222		Investment in associates, joint ventures
28	228		Other investments
		2281	Investments in other entities
		2288	Other investments
29	229		Allowance for Impairment of assets
		2291	Allowance for decline in value of trading securities
		2292	Allowance for impairment of investment in other entities
		2293	Allowance for doubtful debts
		2294	Allowance for inventories
		2295	Allowance for impairment of biological assets
30	241		Construction in progress
		2411	Fixed assets prior to commissioning
		2412	Construction works
		2413	Periodic repairs and maintenance
		2414	Upgrades and renovates of fixed assets
31	242		Expenditure awaiting amortization
32	243		Deferred tax assets
33	244		Deposits
			LIABILITIES
34	331		Trade payables
35	332		Dividends, shared profits payables
36	333		Taxes and other payables to the State Treasury
		3331	Value Added Tax (VAT)
		33311	<i>Output VAT</i>

No. #	ACCOUNT CODE		ACCOUNT NAME
	Level 1	Level 2	
		33312	VAT on imported goods
		3332	Special consumption tax
		3333	Import, export duties
		3334	Corporate Income Tax
		3335	Personal Income Tax
		3336	Natural resource tax
		3337	Land and housing tax, rental charges
		3338	Environmental protection tax and other taxes
		33381	Environmental protection tax
		33382	Other taxes and levies
		3339	Fees, charges and other payables
37	334		Payables to employees
38	335		Accruals
39	336		Intra-company payables
		3361	Intra-company payables for operating capital received
		3362	Intra-company payables for foreign exchange differences
		3363	Intra-company payables for borrowing costs eligible to be capitalized
		3368	Other intra-company payables
40	337		Progress billings
41	338		Other payables
		3381	Surplus of assets awaiting resolution
		3382	Trade union fees
		3383	Social insurance
		3384	Health insurance
		3386	Unemployment insurance
		3387	Deferred revenues
		3388	Other payables
42	341		Borrowings and finance lease liabilities
		3411	Borrowing loans
		3412	Finance lease liabilities
43	343		Issued Bonds
		3431	Ordinary bonds
		3432	Convertible bonds
44	344		Deposits received
45	347		Deferred tax liabilities
46	352		Provisions
		3521	Product warranty provisions
		3522	Construction warranty provisions
		3523	Corporate restructuring provisions
		3525	Other provisions
47	353		Bonus and Welfare fund

No. #	ACCOUNT CODE		ACCOUNT NAME
	Level 1	Level 2	
		3531	Bonus fund
		3532	Welfare fund
		3533	Welfare fund used for acquisition of fixed assets
		3534	Management bonus fund
48	356		Science and Technology Development Fund
		3561	Science and Technology Development fund
		3562	Science and Technology Development Fund used for acquisition of fixed assets
49	357		Price stabilization fund
			OWNERS' EQUITY
50	411		Owners' invested fund
		4111	Contributed capital
		41111	Ordinary shares with voting rights
		41112	Preference shares
		4112	Capital surplus
		4113	Conversion option on convertible bonds
		4118	Other capitals
51	412		Differences upon assets revaluation
52	413		Exchange rate differences
53	414		Investment and Development fund
54	418		Other equity funds
55	419		Repurchased own shares
56	421		Undistributed profit after tax
		4211	Undistributed profit after tax accumulated at the end of prior year
		4212	Undistributed profit after tax for current year
			REVENUE
57	511		Revenue from sales of goods and provisions of services
58	515		Financial income
59	521		Revenue deductions
			PRODUCTION AND BUSINESS COST
60	621		Direct raw material costs
61	622		Direct labor costs
62	623		Cost of construction machinery
		6231	Labor costs
		6232	Material costs
		6233	Tools and supplies costs
		6234	Depreciation expenses
		6237	External service expenses
		6238	Other expenses
63	627		Production overhead costs
		6271	Factory staff costs

No. #	ACCOUNT CODE		ACCOUNT NAME
	Level 1	Level 2	
		6272	Material costs
		6273	Tools and supplies costs
		6274	Depreciation expenses
		6275	Taxes, fees and charges
		6277	External service expenses
		6278	Other expenses
64	632		Cost of goods sold
65	635		Financial expenses
66	641		Selling expenses
		6411	Staff costs
		6412	Materials, packaging expenses
		6413	Tools and supplies costs
		6414	Depreciation expenses
		6415	Taxes, fees and charges
		6417	External service expenses
		6418	Other expenses
67	642		General administrative expenses
		6421	Staff costs
		6422	Office supply costs
		6423	Office equipment costs
		6424	Depreciation expenses
		6425	Taxes, fees and charges
		6426	Provision expenses
		6427	External service expenses
		6428	Other expenses
			OTHER INCOME
68	711		Other income
			OTHER EXPENSES
69	811		Other expenses
70	821		Corporate Income tax (CIT)
		8211	Current CIT expenses
		82111	<i>Current CIT expenses under Law on CIT</i>
		82112	<i>Current CIT top-up tax according to GMT regulations</i>
		8212	Deferred tax expense (benefit)
			INCOME SUMMARY
71	911		Income summary

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